

ritual was to continue for many more months, till the FIIs were convinced that they had to have a full-fledged office in India.

Foreign investors began cautiously, despite all the talk about India being a reforms story. While the FII guidelines were notified in October 1992, FIIs invested less than Rs 15 crore during the period up to March the following year.

Meanwhile, the revelry in the primary market continued unbridled. Nearly 550 companies raised close to Rs 11,000 crore through IPOs in that financial year. This was almost twice the amount raised in the preceding year. Some were worried that another bubble was building up. Who was to know that the bull market in IPOs was just warming up?

The Mumbai serial bomb blasts in March 1993 – one of them right in the basement of the stock exchange building – had market players worried for a while. The main concern was that FIIs would turn their backs on India if they did not see it as a safe place to do business.

I was in the trading ring when the blast shook the building at around 1.30 p.m. I was chatting with a couple of jobber friends who specialized in trading debentures. Those dealing in debentures gather away from the centre of the ring, whose hemispherical roof made for a lower ceiling height at the sides. The blast was so powerful that the plaster of paris ceiling developed deep cracks, spraying us with the powder from it. There was panic all around; people were screaming and stampeding for the exit. There were no casualties inside the stock exchange building, but we could see that the windowpanes of offices even on the twenty-fifth floor of the exchange were shattered by the impact. The glass shards from them killed a few passers-by and some of the food hawkers plying their trade near the entrance of PJ Tower.

I recall broker Mohan Vijan gathering a few of us together and heading for the basement where the explosion had happened, to check for people trapped there. Some of the drivers who hung around in the basement next to their cars were killed in the blast, and I can still recollect the horrible smell of burnt flesh and blood that made me retch.

The blast happened on a Friday. The entire staff of BSE slogged through that weekend to ensure that its systems and infrastructure were in place for regular trading to resume on Monday. By keeping the market open, the government wanted to send a signal to the world at large that India was not to be intimidated by terrorists.